Draft for discussion

Northgate and Verano: integration plan from Day 1 to Day 100

Savings target, Day-1 readiness and integration governance

Integration Steering Committee | 26 January 2027 | Integration Management Office

Confidential and proprietary. For internal discussion only.

The merger targets £62m of net annual savings and gains for £48m of one-off cost, starting on 1 March 2027

£62m

Net run-rate benefit, year three

Gross £67m less **£5m** customer losses

£48m

One-off cost to achieve

Paid back about nine months after full run rate

1 Mar 2027

Day 1

Day 100 is 8 June 2027

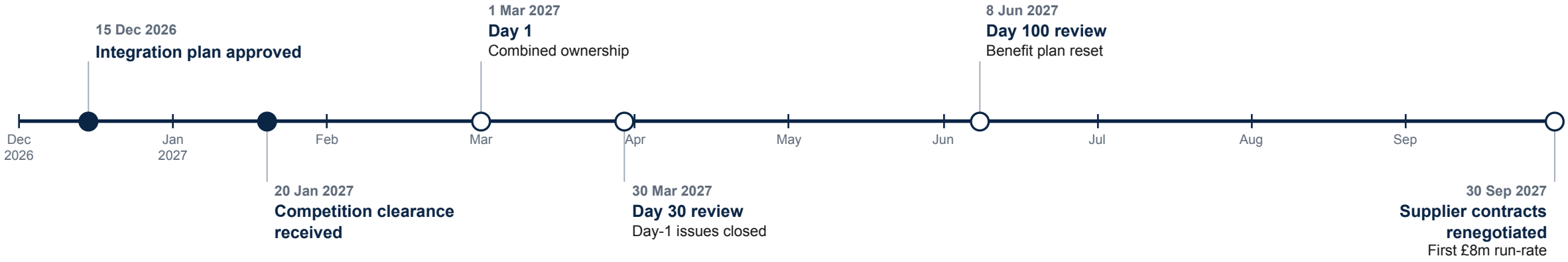
5 of 8

Day-1 must-haves on track

Two at risk, one red

1. Benefit means cost savings plus extra profit from cross-selling, net run-rate by year three. Cost to achieve is one-off and cumulative over three years.
Source: Northgate and Verano integration planning files, January 2027; Integration Management Office analysis. Fictional example.

Day 1 is 1 March 2027 and Day 100 is 8 June 2027, with a Steering Committee review at each



● Complete ▭ Planned

1. Day 1 is the first day of combined ownership. Day 100 is counted from Day 1, inclusive.
Source: Northgate and Verano integration planning files, January 2027; Integration Management Office analysis. Fictional example.

Five of eight Day-1 must-haves are on track, two are at risk, and payroll is red

Day-1 must-haves and status

As at 26 January 2027

Must-have	Owner	Due	Status	Comment
Legal entities and banking in place	General Counsel	19 Feb	On track	Accounts opened; signatories agreed
Employees paid correctly	HR director	25 Feb	Off track	No single payroll file; fallback is two payrolls
Top 200 customers contacted	Sales director	26 Feb	On track	Letters approved; calls scheduled
Suppliers paid without interruption	Finance director	26 Feb	On track	Vendor list matched across both ledgers
Email and access for 310 shared staff	IT director	26 Feb	At risk	Accounts built; testing slipped a week
Safety and quality systems unchanged at all 11 sites	Operations director	28 Feb	On track	No change on Day 1
Regulatory notices filed	General Counsel	20 Jan	On track	Clearance received
Brand and signage rules agreed	Marketing director	12 Feb	At risk	Joint name decision awaiting Steering Committee

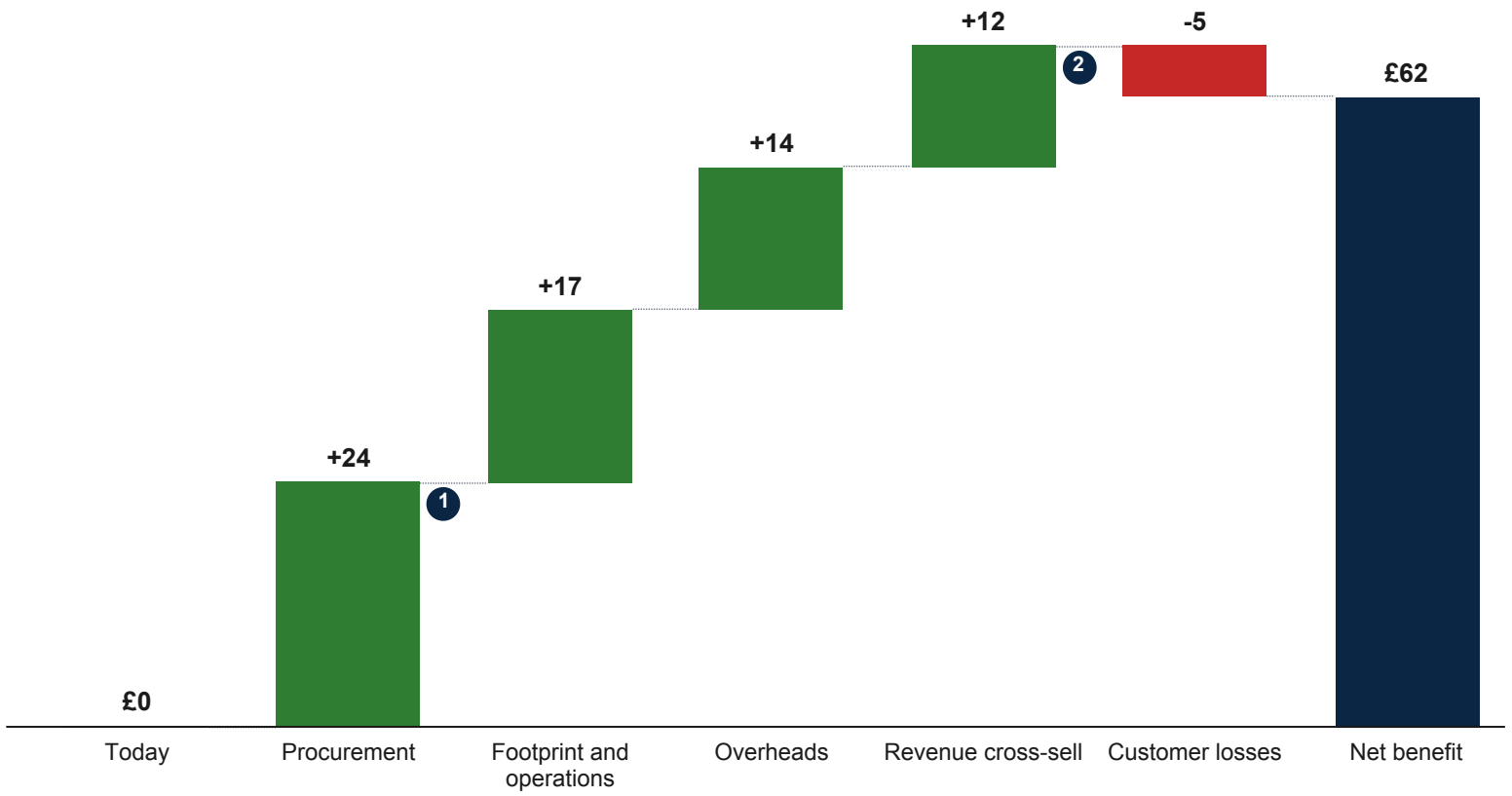
On track At risk Off track

1. Green means on track for Day 1. Amber means at risk with a recovery plan agreed. Red means Day 1 will be missed without a decision.
Source: Northgate and Verano integration planning files, January 2027; Integration Management Office analysis. Fictional example.

Procurement and footprint deliver 41 of the £67m gross benefit; after £5m of customer losses the net target is £62m

Net run-rate benefit by type

£m per year, year three

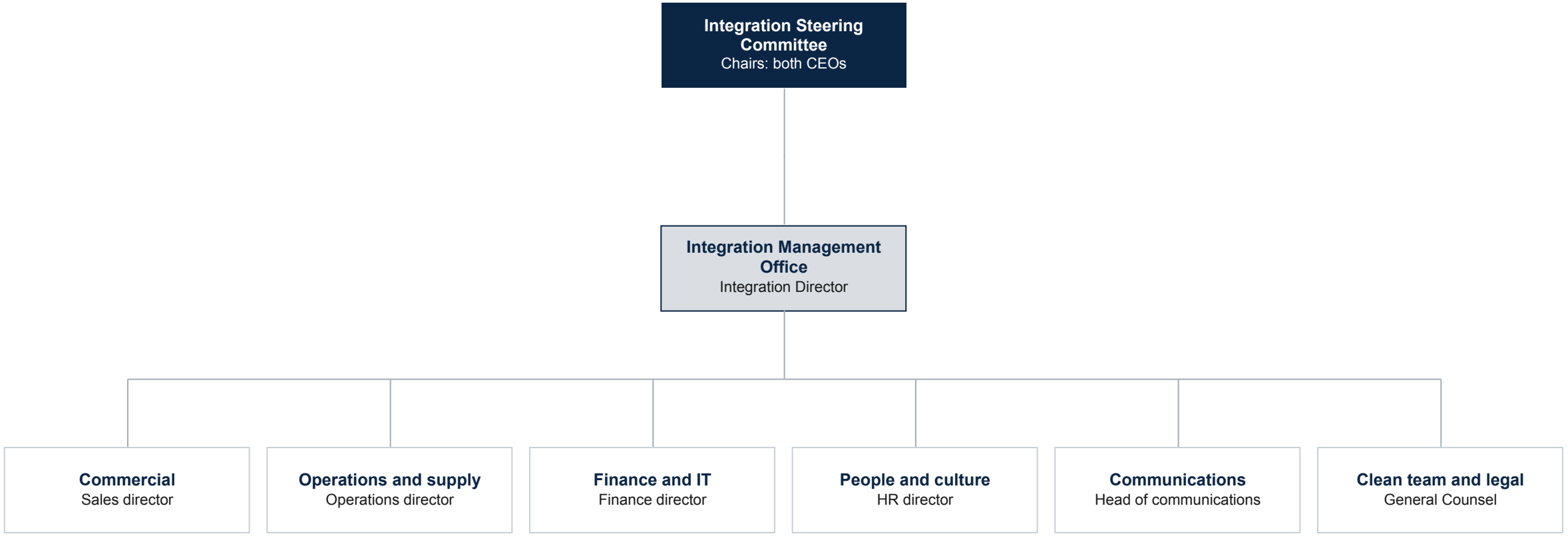


What the bridge shows

1. Procurement and footprint add **£41m**, 61% of gross benefit.
2. Cross-sell is the least certain step and is phased in from year two.

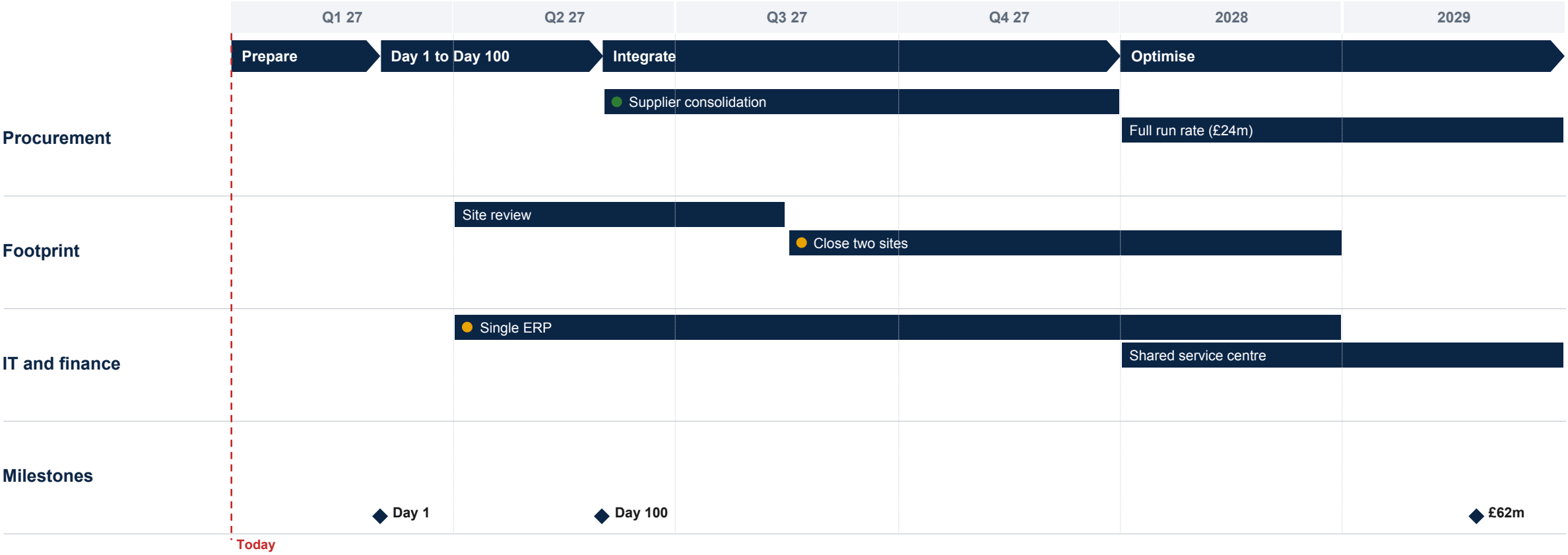
1. Run-rate by year three. Phasing: £18m in year one, £42m in year two, £62m in year three. Customer losses are expected on overlapping accounts.
Source: Northgate and Verano integration planning files, January 2027; Integration Management Office analysis. Fictional example.

The Integration Management Office reports to the Steering Committee and runs six workstreams, including the clean team



1. Roles only. The clean team handles competitively sensitive data until Day 1 under the competition-law protocol.
Source: Northgate and Verano integration planning files, January 2027; Integration Management Office analysis. Fictional example.

Benefits build from £18m in year one to £62m in year three, led by procurement and footprint



1. Quarters are calendar quarters. Run-rate by year three: £62m net. Cumulative one-off cost of £48m.
Source: Northgate and Verano integration planning files, January 2027; Integration Management Office analysis. Fictional example.